How to use these cases

Each case gives a simple balance sheet and profit and loss statement for two years. Compute the same set of ratios for both years, then compare them to judge whether the company's financial strength improved or weakened. The companies cover manufacturing, trading, services and real estate.

Conventions

(a) All amounts are in ₹ lakh. Equity shares have a face value of ₹10 each.

(b) Use year-end (closing) figures for all ratios, since only two balance sheets are given. Use 365 days in a year.

(c) All revenue is on credit. "Cost of revenue" is cost of goods sold for manufacturers and traders, and direct operating costs for service companies.

(d) EBIT = Gross profit − Operating expenses − Depreciation. Capital employed = Shareholders' funds + Long-term borrowings.

(e) The companies are fictional, but their figures are set at levels typical of their industries in India.

Ratio Checklist

Group	Ratio	Formula
Liquidity	Current ratio	Current assets ÷ Current liabilities
	Quick (liquid) ratio	(Current assets − Inventory) ÷ Current liabilities
Solvency	Debt-equity ratio	(Long-term + Short-term borrowings) ÷ Shareholders' funds
	Proprietary ratio	Shareholders' funds ÷ Total assets
	Interest coverage ratio	EBIT ÷ Interest
Profitability	Gross profit ratio	Gross profit ÷ Revenue × 100
	Net profit ratio	PAT ÷ Revenue × 100
	Return on equity (ROE)	PAT ÷ Shareholders' funds × 100
	Return on capital employed (ROCE)	EBIT ÷ (Shareholders' funds + Long-term borrowings) × 100
	Earnings per share (EPS)	PAT ÷ Number of equity shares
Efficiency	Inventory turnover ratio	Cost of revenue ÷ Inventory
	Debtors (receivables) turnover	Revenue ÷ Trade receivables
	Average collection period	Trade receivables ÷ Revenue × 365
	Total asset turnover	Revenue ÷ Total assets

Case index

No.	Company	Sector
1	Shakti Steel Tubes Ltd, Ludhiana	Manufacturing (steel pipes and tubes)
2	Ganga Textiles Ltd, Surat	Manufacturing (synthetic fabrics)
3	Annapurna Wholesale Traders Pvt Ltd, Indore	Trading (wholesale grocery and FMCG distribution)
4	Nexora Software Services Ltd, Pune	Services (IT and software development)
5	Sahyadri Hospitals Ltd, Nashik	Services (multi-speciality hospital)

No.	Company	Sector
6	Coastal Logistics Pvt Ltd, Chennai	Services (road transport and logistics)
7	Himgiri Dairy Products Ltd, Karnal	Manufacturing (dairy and packaged foods)
8	Deccan Pharma Ltd, Hyderabad	Manufacturing (generic medicines)
9	UrbanNest Builders Ltd, Bengaluru	Real estate (residential projects)
10	Royal Heritage Hotels Ltd, Jaipur	Services (hotels and resorts)

PART A: CASES

Case 1: Shakti Steel Tubes Ltd, Ludhiana

Sector: Manufacturing (steel pipes and tubes)

Shakti Steel Tubes makes galvanised pipes for plumbing and construction. It expanded its distribution network in Year 2.

Balance sheet as at year-end (₹ lakh)

Particulars	Year 1	Year 2
EQUITY AND LIABILITIES		
Equity share capital (shares of ₹10 each)	500	500
Reserves and surplus	700	1,035
Long-term borrowings	600	500
Short-term borrowings	300	250
Trade payables	400	450
Other current liabilities	100	120
Total	**2,600**	**2,855**
ASSETS		
Fixed assets (net)	1,300	1,400
Inventories	600	650
Trade receivables	500	550
Cash and bank balances	100	135
Other current assets	100	120
Total	**2,600**	**2,855**

Statement of profit and loss for the year (₹ lakh)

Particulars	Year 1	Year 2
Revenue from operations (all on credit)	4,000	5,000
Cost of revenue (cost of goods sold / direct costs)	3,200	3,900
Operating expenses	300	350
Depreciation	80	90
Interest (finance cost)	90	80
Tax expense	83	145

Required

(a) Compute gross profit, EBIT (profit before interest and tax), profit before tax and profit after tax for both years.

(b) Compute the 14 ratios in the Ratio Checklist for both years.

(c) Comment on the company's liquidity, solvency, profitability and efficiency, and state whether its financial strength improved or weakened in Year 2.

Case 2: Ganga Textiles Ltd, Surat

Sector: Manufacturing (synthetic fabrics)

Ganga Textiles weaves polyester fabrics. In Year 2 it set up a new processing unit largely with borrowed funds.

Balance sheet as at year-end (₹ lakh)

Particulars	Year 1	Year 2
EQUITY AND LIABILITIES		
Equity share capital (shares of ₹10 each)	800	800
Reserves and surplus	1,600	1,717
Long-term borrowings	1,200	1,900
Short-term borrowings	500	800
Trade payables	600	850
Other current liabilities	150	170
Total	**4,850**	**6,237**
ASSETS		
Fixed assets (net)	2,600	3,300
Inventories	1,000	1,500
Trade receivables	900	1,300
Cash and bank balances	200	17
Other current assets	150	120
Total	**4,850**	**6,237**

Statement of profit and loss for the year (₹ lakh)

Particulars	Year 1	Year 2
Revenue from operations (all on credit)	6,000	6,300
Cost of revenue (cost of goods sold / direct costs)	4,500	4,900
Operating expenses	600	700
Depreciation	200	230
Interest (finance cost)	150	260
Tax expense	138	53

Required

(a) Compute gross profit, EBIT (profit before interest and tax), profit before tax and profit after tax for both years.

(b) Compute the 14 ratios in the Ratio Checklist for both years.

(c) Comment on the company's liquidity, solvency, profitability and efficiency, and state whether its financial strength improved or weakened in Year 2.

Case 3: Annapurna Wholesale Traders Pvt Ltd, Indore

Sector: Trading (wholesale grocery and FMCG distribution)

Annapurna buys groceries and packaged foods from manufacturers and sells them to about 1,200 retailers in Madhya Pradesh.

Balance sheet as at year-end (₹ lakh)

Particulars	Year 1	Year 2
EQUITY AND LIABILITIES		
Equity share capital (shares of ₹10 each)	300	300
Reserves and surplus	500	814
Long-term borrowings	100	80
Short-term borrowings	600	700
Trade payables	700	800
Other current liabilities	50	60
Total	**2,250**	**2,754**
ASSETS		
Fixed assets (net)	200	220
Inventories	900	1,100
Trade receivables	1,000	1,150
Cash and bank balances	100	224
Other current assets	50	60
Total	**2,250**	**2,754**

Statement of profit and loss for the year (₹ lakh)

Particulars	Year 1	Year 2
Revenue from operations (all on credit)	12,000	14,400
Cost of revenue (cost of goods sold / direct costs)	11,040	13,200
Operating expenses	480	560
Depreciation	20	25
Interest (finance cost)	110	130
Tax expense	88	121

Required

(a) Compute gross profit, EBIT (profit before interest and tax), profit before tax and profit after tax for both years.

(b) Compute the 14 ratios in the Ratio Checklist for both years.

(c) Comment on the company's liquidity, solvency, profitability and efficiency, and state whether its financial strength improved or weakened in Year 2.

Case 4: Nexora Software Services Ltd, Pune

Sector: Services (IT and software development)

Nexora develops software for banks and insurers in India and abroad. It has no borrowings. "Cost of revenue" is mainly employee and delivery cost.

Balance sheet as at year-end (₹ lakh)

Particulars	Year 1	Year 2
EQUITY AND LIABILITIES		
Equity share capital (shares of ₹10 each)	1,000	1,000
Reserves and surplus	2,500	2,827
Long-term borrowings	0	0
Short-term borrowings	0	0
Trade payables	200	230
Other current liabilities	400	450
Total	**4,100**	**4,507**
ASSETS		
Fixed assets (net)	800	900
Inventories	0	0
Trade receivables	1,100	1,400
Cash and bank balances	1,900	1,887
Other current assets	300	320
Total	**4,100**	**4,507**

Statement of profit and loss for the year (₹ lakh)

Particulars	Year 1	Year 2
Revenue from operations (all on credit)	5,000	5,800
Cost of revenue (cost of goods sold / direct costs)	3,500	4,150
Operating expenses	500	560
Depreciation	100	110
Interest (finance cost)	10	10
Tax expense	223	243

Required

(a) Compute gross profit, EBIT (profit before interest and tax), profit before tax and profit after tax for both years.

(b) Compute the 14 ratios in the Ratio Checklist for both years.

(c) Comment on the company's liquidity, solvency, profitability and efficiency, and state whether its financial strength improved or weakened in Year 2.

Case 5: Sahyadri Hospitals Ltd, Nashik

Sector: Services (multi-speciality hospital)

Sahyadri runs a 150-bed hospital. In Year 2 it opened a new cardiac wing financed by a term loan. Inventory is medicines and consumables.

Balance sheet as at year-end (₹ lakh)

Particulars	Year 1	Year 2
EQUITY AND LIABILITIES		
Equity share capital (shares of ₹10 each)	600	600
Reserves and surplus	900	1,282
Long-term borrowings	1,200	1,800
Short-term borrowings	100	100
Trade payables	250	300
Other current liabilities	150	170
Total	**3,200**	**4,252**
ASSETS		
Fixed assets (net)	2,600	3,300
Inventories	80	100
Trade receivables	300	420
Cash and bank balances	150	352
Other current assets	70	80
Total	**3,200**	**4,252**

Statement of profit and loss for the year (₹ lakh)

Particulars	Year 1	Year 2
Revenue from operations (all on credit)	3,000	3,600
Cost of revenue (cost of goods sold / direct costs)	1,200	1,400
Operating expenses	1,100	1,250
Depreciation	200	260
Interest (finance cost)	120	180
Tax expense	95	128

Required

(a) Compute gross profit, EBIT (profit before interest and tax), profit before tax and profit after tax for both years.

(b) Compute the 14 ratios in the Ratio Checklist for both years.

(c) Comment on the company's liquidity, solvency, profitability and efficiency, and state whether its financial strength improved or weakened in Year 2.

Case 6: Coastal Logistics Pvt Ltd, Chennai

Sector: Services (road transport and logistics)

Coastal Logistics operates a fleet of 120 trucks serving ports and factories in Tamil Nadu. Direct costs are fuel, drivers' wages and tolls. It carries no significant inventory (spares are included in other current assets).

Balance sheet as at year-end (₹ lakh)

Particulars	Year 1	Year 2
EQUITY AND LIABILITIES		
Equity share capital (shares of ₹10 each)	400	400
Reserves and surplus	450	487
Long-term borrowings	700	650
Short-term borrowings	150	300
Trade payables	200	260
Other current liabilities	80	90
Total	**1,980**	**2,187**
ASSETS		
Fixed assets (net)	1,400	1,350
Inventories	0	0
Trade receivables	450	620
Cash and bank balances	50	132
Other current assets	80	85
Total	**1,980**	**2,187**

Statement of profit and loss for the year (₹ lakh)

Particulars	Year 1	Year 2
Revenue from operations (all on credit)	2,500	2,600
Cost of revenue (cost of goods sold / direct costs)	1,900	2,050
Operating expenses	200	210
Depreciation	180	190
Interest (finance cost)	90	100
Tax expense	33	13

Required

(a) Compute gross profit, EBIT (profit before interest and tax), profit before tax and profit after tax for both years.

(b) Compute the 14 ratios in the Ratio Checklist for both years.

(c) Comment on the company's liquidity, solvency, profitability and efficiency, and state whether its financial strength improved or weakened in Year 2.

Case 7: Himgiri Dairy Products Ltd, Karnal

Sector: Manufacturing (dairy and packaged foods)

Himgiri processes milk into packaged milk, curd, paneer and ghee sold across Haryana, Punjab and Delhi.

Balance sheet as at year-end (₹ lakh)

Particulars	Year 1	Year 2
EQUITY AND LIABILITIES		
Equity share capital (shares of ₹10 each)	1,000	1,000
Reserves and surplus	2,200	2,812
Long-term borrowings	300	200
Short-term borrowings	100	50
Trade payables	700	800
Other current liabilities	200	230
Total	**4,500**	**5,092**
ASSETS		
Fixed assets (net)	2,400	2,700
Inventories	500	560
Trade receivables	300	350
Cash and bank balances	1,200	1,372
Other current assets	100	110
Total	**4,500**	**5,092**

Statement of profit and loss for the year (₹ lakh)

Particulars	Year 1	Year 2
Revenue from operations (all on credit)	8,000	9,200
Cost of revenue (cost of goods sold / direct costs)	6,000	6,800
Operating expenses	900	1,050
Depreciation	150	170
Interest (finance cost)	40	30
Tax expense	228	288

Required

(a) Compute gross profit, EBIT (profit before interest and tax), profit before tax and profit after tax for both years.

(b) Compute the 14 ratios in the Ratio Checklist for both years.

(c) Comment on the company's liquidity, solvency, profitability and efficiency, and state whether its financial strength improved or weakened in Year 2.

Case 8: Deccan Pharma Ltd, Hyderabad

Sector: Manufacturing (generic medicines)

Deccan Pharma makes generic tablets and capsules sold to distributors in India and to importers in Africa.

Balance sheet as at year-end (₹ lakh)

Particulars	Year 1	Year 2
EQUITY AND LIABILITIES		
Equity share capital (shares of ₹10 each)	700	700
Reserves and surplus	1,800	2,367
Long-term borrowings	400	450
Short-term borrowings	300	700
Trade payables	450	500
Other current liabilities	150	170
Total	**3,800**	**4,887**
ASSETS		
Fixed assets (net)	1,800	1,950
Inventories	900	1,150
Trade receivables	1,000	1,700
Cash and bank balances	50	27
Other current assets	50	60
Total	**3,800**	**4,887**

Statement of profit and loss for the year (₹ lakh)

Particulars	Year 1	Year 2
Revenue from operations (all on credit)	4,500	5,200
Cost of revenue (cost of goods sold / direct costs)	2,250	2,700
Operating expenses	1,200	1,350
Depreciation	150	170
Interest (finance cost)	60	90
Tax expense	210	223

Required

(a) Compute gross profit, EBIT (profit before interest and tax), profit before tax and profit after tax for both years.

(b) Compute the 14 ratios in the Ratio Checklist for both years.

(c) Comment on the company's liquidity, solvency, profitability and efficiency, and state whether its financial strength improved or weakened in Year 2.

Case 9: UrbanNest Builders Ltd, Bengaluru

Sector: Real estate (residential projects)

UrbanNest builds apartment projects. Inventory is mainly flats under construction; other current liabilities include advances from buyers.

Balance sheet as at year-end (₹ lakh)

Particulars	Year 1	Year 2
EQUITY AND LIABILITIES		
Equity share capital (shares of ₹10 each)	500	500
Reserves and surplus	1,200	1,395
Long-term borrowings	2,000	2,600
Short-term borrowings	800	1,000
Trade payables	600	700
Other current liabilities	900	1,100
Total	**6,000**	**7,295**
ASSETS		
Fixed assets (net)	300	320
Inventories	5,200	6,300
Trade receivables	300	450
Cash and bank balances	100	105
Other current assets	100	120
Total	**6,000**	**7,295**

Statement of profit and loss for the year (₹ lakh)

Particulars	Year 1	Year 2
Revenue from operations (all on credit)	3,000	3,600
Cost of revenue (cost of goods sold / direct costs)	2,100	2,600
Operating expenses	300	330
Depreciation	30	30
Interest (finance cost)	250	380
Tax expense	80	65

Required

(a) Compute gross profit, EBIT (profit before interest and tax), profit before tax and profit after tax for both years.

(b) Compute the 14 ratios in the Ratio Checklist for both years.

(c) Comment on the company's liquidity, solvency, profitability and efficiency, and state whether its financial strength improved or weakened in Year 2.

Case 10: Royal Heritage Hotels Ltd, Jaipur

Sector: Services (hotels and resorts)

Royal Heritage runs two heritage hotels. Year 1 was hit by renovation closures; tourist arrivals recovered strongly in Year 2.

Balance sheet as at year-end (₹ lakh)

Particulars	Year 1	Year 2
EQUITY AND LIABILITIES		
Equity share capital (shares of ₹10 each)	800	800
Reserves and surplus	200	485
Long-term borrowings	900	800
Short-term borrowings	100	50
Trade payables	150	180
Other current liabilities	100	130
Total	**2,250**	**2,445**
ASSETS		
Fixed assets (net)	2,000	1,950
Inventories	40	50
Trade receivables	80	120
Cash and bank balances	80	265
Other current assets	50	60
Total	**2,250**	**2,445**

Statement of profit and loss for the year (₹ lakh)

Particulars	Year 1	Year 2
Revenue from operations (all on credit)	1,500	2,400
Cost of revenue (cost of goods sold / direct costs)	600	850
Operating expenses	750	900
Depreciation	150	160
Interest (finance cost)	120	110
Tax expense	0	95

Required

(a) Compute gross profit, EBIT (profit before interest and tax), profit before tax and profit after tax for both years.

(b) Compute the 14 ratios in the Ratio Checklist for both years.

(c) Comment on the company's liquidity, solvency, profitability and efficiency, and state whether its financial strength improved or weakened in Year 2.